Investprop

AI-POWERED PROPERTY CO-INVESTMENT PLATFORM

STRICTLY PRIVATE & CONFIDENTIAL

Confidential Investor Memorandum

An invitation to **co-invest** alongside institutional capital in curated South African property developments — and for banks, DFIs and institutional funders to **partner** with the platform that aggregates the developer's equity contribution from a pool of qualifying investors.

Issued by	**[Investprop (Pty) Ltd]** ("Investprop", the "Platform")
Registration No.	**[Company Registration Number]**
Registered address	**[Registered Address]**
Prepared for	**[Prospective Co-Investor / Institutional Partner]**
Audience	Qualifying co-investors & institutional funders / development-finance partners
Purpose	Co-investment into ring-fenced property SPVs & institutional co-funding partnerships
Primary contact	**[Founder Name]**, **[Title]** · **[Email]** · **[Phone]**
Date	**[Date]**
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This Confidential Investor Memorandum (the "Memorandum") is provided by **[Investprop (Pty) Ltd]** ("Investprop", "we", "us", the "Platform") to the named recipient solely to assist in evaluating participation — whether as a **co-investor** in a ring-fenced property SPV, or as an **institutional funding / development-finance partner** — in the opportunities facilitated by the Platform. It may not be copied, reproduced, forwarded, or disclosed to any third party, in whole or in part, without our prior written consent.

This Memorandum is not a prospectus, an offer to the public, financial or investment advice, or a solicitation under the South African Companies Act, 2008 or the Financial Markets Act, 2012. It is an invitation to a limited number of sophisticated / qualifying investors and institutions to discuss co-investment and partnership opportunities on a private-placement basis. Any investment or commitment will be made only by persons or institutions who qualify under applicable exemptions and solely on the terms of definitive subscription, co-funding, and shareholders' agreements.

All forward-looking statements, projections, and market figures are estimates and illustrations only. They are not guarantees of future performance. Actual results may differ materially. Prospective investors must rely on their own due diligence and professional advisers. Investment in an early-stage company carries a high risk of loss, including the total loss of capital invested, and the investment is illiquid.

In one line: Development funders will back strong property projects but require the developer to contribute a minimum of ~30% equity — capital most developers do not have. Investprop is a live, AI-powered platform that **aggregates that 30% from a pool of qualifying co-investors**, pairs it with institutional development finance, and holds everything inside compliant, ring-fenced SPVs — unlocking deals that would otherwise never happen.

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1. Executive Summary

Property is South Africa's most trusted store of wealth, and institutional funders — banks, development-finance institutions (DFIs), and large investors — are willing to finance strong

property-development projects. In practice, however, they will only do so if the **developer contributes a meaningful equity stake, typically a minimum of around 30%** of project cost. That co-contribution is the single biggest reason good projects stall: most capable developers simply do not have 30% of a project's cost sitting in cash.

Investprop exists to close that gap. We are a live, AI-powered platform that aggregates the required developer equity from a **pool of qualifying co-investors** — each contributing from **[R10,000]** — and pairs that pooled equity with institutional development finance. The pooled equity and the project are held inside ring-fenced Special Purpose Vehicles (SPVs), with transparent reporting, share certificates, AI-driven underwriting, and a path to secondary liquidity.

This creates a **two-sided invitation**. For everyday and qualifying investors, it is a chance to co-invest in institutional-grade developments that were previously out of reach. For institutional funders and development-finance partners, Investprop is the counterparty that reliably assembles the ~30% equity tranche, originates and underwrites deals with AI, and administers them in a compliant, auditable structure — de-risking and unlocking deal flow they could not otherwise transact.

The platform is **live today** as a production web application and a native mobile app (Android/iOS), with the co-investment pooling, SPV accounting, investor wallets, instant settlement, and share-integrity controls already built. Investprop earns diversified, recurring and transaction-based fees across the capital it helps raise, the distributions it pays out, and the secondary trades it facilitates.

~30%

Developer equity funders require — sourced from the pool

From R10k

Minimum co-investor ticket (target)

2 apps

Live web + native mobile

Ring-fenced

Per-deal SPVs with audit trail

2. Why Investprop Exists — The 30% Developer-Equity Problem

This platform was born out of a real, recurring obstacle we faced ourselves. Institutional funders — the PIC, banks such as Absa, Nedbank and Capitec, and specialist development financiers such as TUHF Capital — are genuinely willing to fund property developments. But almost all of them attach the same condition:

"Show us that you, the developer, have skin in the game — contribute a minimum of roughly 30% of the project equity, and we will fund the rest."

For a **[R50 million]** development, that 30% is **[R15 million]** in cash — before a single brick is laid. Most competent developers, including us, do not have that amount idle. The result is a stalemate that holds back otherwise bankable, job-creating, housing-delivering projects:

- **The funder is ready** but cannot deploy without the equity cushion.
- **The developer is capable** but is blocked purely by the equity gap.
- **Everyday investors want property exposure** but cannot access institutional-scale developments.

Investprop turns that stalemate into a transaction: the 30% is assembled from many qualifying co-investors, each taking a small, transparent, ring-fenced slice — and the institutional funder provides the senior finance on top.

The other barriers we also remove

- **Capital barrier:** fractional tickets from **[R10,000]** replace the need for a whole-property deposit.
- **Opacity & trust:** informal syndications are replaced with ring-fenced SPVs, share certificates, and transparent reporting.
- **Illiquidity:** a built-in secondary market lets co-investors sell shares before project exit.
- **Compliance:** FICA/KYC, POPIA-aware handling, and audit logging are built into the Platform.

3. The Solution — How the Pool Unlocks the Deal

Investprop sits between the institutional funder and the crowd, assembling a complete, fundable capital stack for each project. A typical structure looks like this:

Layer	Who provides it	Typical share	Role
Senior development finance	Bank / DFI / institutional funder (e.g. PIC, Absa, Nedbank, Capitec, TUHF Capital)	**[~70%]**	Primary project funding, drawn against the equity cushion below.
Pooled developer equity	Investprop co-investors (many small tickets)	**[~30%]**	The equity contribution the funder requires — aggregated by the Platform.
Origination, underwriting & admin	Investprop Platform	—	Sources the deal, grades it with AI, structures the SPV, and administers reporting, distributions and compliance.

The pooled equity is held in a **ring-fenced SPV** created for that single project. Each co-investor owns shares in the SPV proportional to their contribution, receives a share certificate, and sees transparent reporting on the underlying property. The institutional funder lends or co-invests against a project that now has its required equity cushion in place — a structure it recognises and can transact.

The unlock: neither the crowd alone nor the funder alone can do these deals. Pooled retail/qualifying equity + institutional finance + AI-driven origination and compliant administration together make a previously impossible project bankable.

4. Who This Memorandum Invites

This Memorandum is addressed to two complementary audiences:

Audience	Who	What they get
Co-investors	Retail & qualifying investors, from **[R10,000]**	Fractional ownership of institutional-grade developments via ring-fenced SPVs, transparent reporting, share certificates, AI deal insight, and secondary liquidity.
Institutional partners	Banks, DFIs, pension/asset managers & development financiers (e.g. PIC, Absa, Nedbank, Capitec, TUHF Capital)	A reliable counterparty that assembles the ~30% equity tranche, originates and AI-underwrites deals, and administers them in a compliant, auditable SPV structure — de-risking and expanding fundable deal flow.

The same platform also provides serious investors with an AI underwriting co-pilot, a nationwide distressed-property finder with AI deal grades, and portfolio analytics; and gives property owners a route to submit stock for cash, joint-venture, or development partnership — all of which feed the co-investment pipeline.

5. Product & Technology

The platform is production-grade and already shipping across two clients:

- **Web application** — full investor, owner, and operations experience.
- **Native mobile app** — Flutter-based Android/iOS app with the investor, seller, distressed-deals, and deal-calculator experiences.
- **Operations console** — staff workflows for deal pipeline, compliance (FICA/KYC), revenue, and reporting.

Engineering highlights

- Modern type-safe stack (TypeScript, React, tRPC, Prisma, PostgreSQL) with a hardened, containerised production deployment.

- Security-first: bank-grade password hashing, role-based access control, rate limiting, input sanitisation, SSRF guards on the scraper, and an audit log on sensitive actions.
- Automated schedulers for distressed-deal scraping, AI grading, alerting, and nightly market analysis.
- Payments integration (Paystack) for subscriptions and recurring billing.

6. Artificial Intelligence Layer

AI is a core differentiator, not a bolt-on. It powers:

Capability	What it does
AI Investment Co-Pilot	Conversational assistant that answers deal and portfolio questions in context.
AI Underwriting	Independent assumption breakdown and risk read on any deal.
AI Deal Grades (A–E)	Every distressed / auction listing is screened and graded on upside and risk.
AI Portfolio Advisor	Strategy-level guidance across an investor's holdings.
Distressed Market Analysis	Deterministic comparable-sales benchmarking, margin-of-safety, max-bid and flip/rental projections per listing.
AI Seller Valuation	Offer-readiness valuation report for property owners.

7. The Market Opportunity

South African residential property is a multi-trillion-rand asset class and the primary store of household wealth. Fractional, app-based investing is still nascent locally while it has scaled rapidly in comparable markets abroad, and distressed / auction stock is a large, perennial, under-digitised niche.

- **Co-investment TAM:** the pool of South Africans who want property exposure but cannot buy a whole property.
- **Investor-tools SAM:** active and aspiring property investors seeking sourcing + underwriting software.
- **Distressed niche:** thousands of bank-repossession, sheriff, and liquidation listings each year nationwide.

Precise TAM/SAM/SOM figures to be inserted from the Company's market model: **[insert sized market model]**.

8. How Capital Is Structured & Protected

Because the Platform aggregates other people's money to form the developer-equity tranche, the integrity of how that capital is held, settled, and reconciled is central. These controls are already built and live:

Control	How it protects capital
Ring-fenced SPVs	Each project sits in its own Special Purpose Vehicle, so one deal's performance and liabilities never contaminate another. Co-investors own shares in that single SPV.
In-app investor wallets	Co-investors fund a wallet (via Paystack EFT/card) that is automatically reconciled — removing manual proof-of-payment and the errors that come with it.
Instant Delivery-versus-Payment (DvP)	On the secondary market, shares and cash change hands atomically from the wallet: the buyer is debited and the seller credited in the same settled transaction, so there is never delivery without payment.
Share-integrity & conservation audit	The system continuously proves that no duplicate or phantom shares can exist — issued shares reconcile to the ledger per class — and traces every holding back to its property and SPV.
Provenance & certificates	Every co-investor can see exactly how their shares were acquired, their valuation, and the property/SPV they map to, backed by a share certificate.
Auditable money trail	Deposits, trades, distributions, fees, and withdrawals are each booked as signed, reference-tagged ledger entries for clean reporting and audit.

For an institutional funder, these are exactly the assurances needed to rely on the equity tranche: the ~30% is real, ring-fenced, reconciled, and administered — not an informal collection of IOUs.

9. Business Model & Revenue Streams

Investprop monetises in two complementary ways — **recurring subscriptions** and **transaction fees**.

A. Recurring subscriptions (SaaS)

Plan	Monthly	Annual	Who it's for
Starter (Free)	R0	R0	Entry / funnel
Investor Plus	R299	R2,990	AI co-pilot + portfolio advisor
Pro	R799	R7,990	+ AI underwriting, distressed full access, priority support
Enterprise	R2,499	R24,990	+ multi-SPV reporting, market-data API

DistressedDeals SA	R499	R4,990	Standalone distressed finder
Seller Pro	R499	R4,990	Standalone seller / landlord toolkit

B. Transaction & platform fees

Fee	Rate (default)	Charged on
Capital raise fee	2.5%	Investor capital contributed into a deal
Distribution fee	2.0%	Income / profit distributed to investors
Secondary trade fee	1.0%	Investor-to-investor share trades
Sourcing fee	1.0%	Deals sourced into the pipeline
Seller facilitation fee	2.0%	Agreed sale price, at close (seller-side)
Assessment / DD pack	R2,500 (credited at close)	Seller due-diligence pack
JV promote	10.0%	Joint-venture / partnership payouts
Lease-back setup	R5,000	Structuring a sale-and-leaseback
Lease-back rental management	8.0%	Monthly rent under a leaseback
Bond referral	Configurable	Referrals to bond originators

Rates are platform defaults and are centrally configurable. Every fee is booked to a single revenue ledger for clean reporting.

10. Illustrative Deal Economics

The Platform earns across the **life of each deal**. On a **[R50 million]** development with a ~30% pooled-equity tranche of **[R15 million]**, the capital-raise fee (2.5%) is ~**[R375,000]**, followed by distribution fees (2.0%) over the hold and secondary-trade fees (1.0%) as co-investors trade shares — on top of recurring tool/SaaS subscriptions. A single R1,000,000 co-investment generates ~R25,000 at capital-raise alone, before distributions and exit.

Key point: because origination, pooled-equity raises, distributions, secondary trades, and subscriptions all stack on the same user base, Platform revenue compounds for the entire life of a project — from the moment the equity is raised to final exit.

Full fee, CAC / LTV and cohort assumptions: **[insert from financial model]**.

11. Traction & Current Status

- **Product:** Live production web app and native mobile app; feature-complete across investor, seller, and ops journeys.
- **Monetisation:** Subscription billing and the full platform-fee engine are built and operational.
- **Distressed engine:** Automated nationwide scraping, AI grading, alerting, and nightly market analysis running on schedule.
- **Compliance scaffolding:** FICA/KYC workflows, POPIA-aware data handling, audit logging, and an admin compliance console.

Live KPI snapshot (users, subscribers, GMV, pipeline value) to insert at issue: **[insert current metrics]**.

12. Go-to-Market Strategy

- **Lead with tools:** acquire serious investors via the Distressed Finder and AI underwriting (clear, immediate ROI), then upsell to co-investment.
- **Content & community:** educational content on SA property investing to build an organic funnel into the free tier.
- **Seller inbound:** the seller toolkit brings motivated, off-market stock that fuels the co-investment pipeline.
- **Regulated wrapper:** partner with an FSCA-accredited institution to take fractional co-investment fully to market.
- **Partnerships:** bond originators, conveyancers, and auction houses for referrals and deal flow.

13. Competitive Landscape

Category	Examples	Investprop edge
Fractional property platforms	Local & offshore fractional apps	We add AI underwriting + a distressed sourcing engine + seller funnel, not just a marketplace.
Property portals	Listing sites	We underwrite, grade, and let users co-invest — not just browse.
Spreadsheets / manual syndication	Informal JV groups	Compliant SPV structuring, transparent reporting, and automation.
Auction / repo aggregators	Scattered auction houses	One AI-graded, filterable feed with alerts and market analysis.

14. Regulatory, Compliance & Risk

Fractional property co-investment touches South African financial-services regulation. Investprop's strategy is to operate the regulated co-investment product through an **FSCA-accredited partner** that provides the licence and product-structuring oversight, while

Investprop provides the technology, origination, and operations. The tool/SaaS and seller-facilitation lines are lighter-touch and can scale in parallel.

- **FICA / AML:** identity verification and KYC workflows built in.
- **POPIA:** privacy-aware data handling and consent.
- **Governance:** ring-fenced SPVs, audit logging, and transparent fee disclosure.

A detailed FSCA gap analysis and compliance roadmap are available in the data room.

15. Financial Projections (Illustrative)

The figures below are **illustrative placeholders** to show the shape of the model. Replace with the Company's financial model before issue.

Metric (R'000)	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Subscription revenue	[__]	[__]	[__]	[__]	[__]
Transaction & seller fees	[__]	[__]	[__]	[__]	[__]
Total revenue	[__]	[__]	[__]	[__]	[__]
Gross margin %	[__]	[__]	[__]	[__]	[__]
EBITDA	[__]	[__]	[__]	[__]	[__]

16. The Invitation — Co-Investors & Institutional Partners

Investprop is opening two complementary tracks of participation:

Track A — Co-Investors (join the pool)

Qualifying individuals and investors are invited to co-invest from **[R10,000]** per deal. Your capital joins the pooled developer-equity tranche of a specific, ring-fenced SPV, giving you fractional ownership of an institutional-grade development you could not access alone — with transparent reporting, a share certificate, AI deal insight, and access to the secondary market for liquidity.

Track B — Institutional Funders & Development-Finance Partners

Banks, DFIs, pension and asset managers, and specialist development financiers — the kind of institutions this Platform is built to work with include the Public Investment Corporation (PIC), Absa, Nedbank, Capitec, and TUHF Capital, among other banks, DFIs and funds — are invited to partner with Investprop on project funding. In each partnership, the Platform assembles and administers the ~30% equity tranche and brings AI-underwritten, compliance-ready deal flow; the institution provides senior development finance against that equity cushion.

What each partner brings	Investprop	Institutional partner
Capital	Pooled ~30% developer equity	Senior development finance (balance)
Origination	AI-sourced & graded pipeline	Mandate / sector focus
Structuring & admin	SPV setup, reporting, distributions, compliance	Credit & funding terms
Risk controls	Ring-fencing, DvP settlement, share-integrity audit	Security & covenants

The split above is illustrative; actual equity/senior ratios and terms are agreed per deal and per partner.

17. Indicative Terms

Co-investor instrument	Shares in a per-deal ring-fenced SPV (fractional ownership)
Co-investor minimum	**[R10,000]** per deal
Developer-equity target	**[~30%]** of project cost, aggregated from the pool
Institutional role	Senior development finance against the equity cushion; terms per deal
Co-investor returns	**[Rental income and/or development profit share]**, distributed via the SPV
Liquidity	Secondary market for SPV shares (subject to availability & KYC)
Governance	Ring-fenced SPV, transparent reporting, share-integrity audit, fee disclosure

Indicative only and subject to definitive subscription, co-funding, and shareholders' agreements and applicable exemptions.

18. Key Risks & Mitigations

Risk	Mitigation
Regulatory (pooled co-investment)	Operate through an FSCA-accredited partner; phased rollout; legal counsel; qualifying-investor exemptions.
Equity tranche not fully subscribed	Deals proceed only once the ~30% is committed; funds held/reserved per SPV; staged commitments.

Market / property / development cycle	Diversified SPVs, conservative AI underwriting, margin-of-safety, institutional co-diligence.
Liquidity for co-investors	Secondary-trade mechanism and defined exit pathways (subject to availability).
Execution / key-person	Documented systems, automation, planned key hires.
Technology / security / capital integrity	Ring-fencing, DvP settlement, share-integrity audit, hardened stack, monitoring and audits.

19. Team & Governance

[Founder & key team bios — name, role, relevant experience.]

[Advisers, board, and corporate governance structure.]

20. Proposed Next Steps

1. Sign a mutual NDA and share the full data room.
2. Management presentation and live product walkthrough.
3. Due diligence (technical, financial, legal, compliance).
4. Agree terms; execute definitive agreements; close.

For and on behalf of Investprop	Prospective Investor
Name / Title / Date	Name / Title / Date

Appendix A — Revenue Catalogue

Full list of monetisation lines currently implemented in the platform.

#	Line	Type	Rate / Price
1	Investor Plus subscription	Recurring	R299/mo · R2,990/yr
2	Pro subscription	Recurring	R799/mo · R7,990/yr
3	Enterprise subscription	Recurring	R2,499/mo · R24,990/yr
4	DistressedDeals SA subscription	Recurring	R499/mo · R4,990/yr

5	Seller Pro subscription	Recurring	R499/mo · R4,990/yr
6	Capital raise fee	Transaction	2.5%
7	Distribution fee	Transaction	2.0%
8	Secondary trade fee	Transaction	1.0%
9	Sourcing fee	Transaction	1.0%
10	Seller facilitation fee	Seller-side	2.0% at close
11	Assessment / DD pack	Seller-side	R2,500 (credited at close)
12	JV promote	Seller-side	10.0% of JV payout
13	Lease-back setup	Seller-side	R5,000
14	Lease-back rental management	Recurring	8.0% of rent
15	Bond referral	Referral	Configurable

Appendix B — Glossary

Term	Meaning
SPV	Special Purpose Vehicle — a ring-fenced company that holds a single property or deal.
Fractional ownership	Owning a share of a property via shares in its SPV.
FICA	Financial Intelligence Centre Act — identity/AML verification.
POPIA	Protection of Personal Information Act — SA data-privacy law.
FSCA	Financial Sector Conduct Authority — SA financial-services regulator.
JV promote	A performance share of profit on a joint-venture deal.
Lease-back	Seller sells a property and continues to occupy it as a tenant.
GMV	Gross Merchandise Value — total value of deals transacted.